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US

Private Credit & Middle Market Weekly Wrap

Deal with it

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— Commentary, page 3

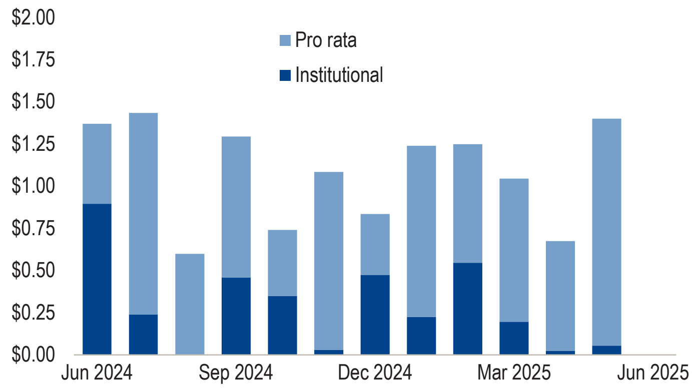
Private credit's burgeoning popularity among individual investors, combined with changes in investor restrictions, has led to a significant growth of assets in semiliquid funds, according to research by Morningstar. Assets in semiliquid funds open to nonqualified purchasers, or those with less than $5 million in investable assets, grew to $344 billion by the end of 2024, up from $215 billion at the end of 2022.

— Market feature, page 5

A technical imbalance in private credit worsened in the second quarter. Demand for loans had already outstripped supply, and M&A and buyout activity once again disappointed market participants.

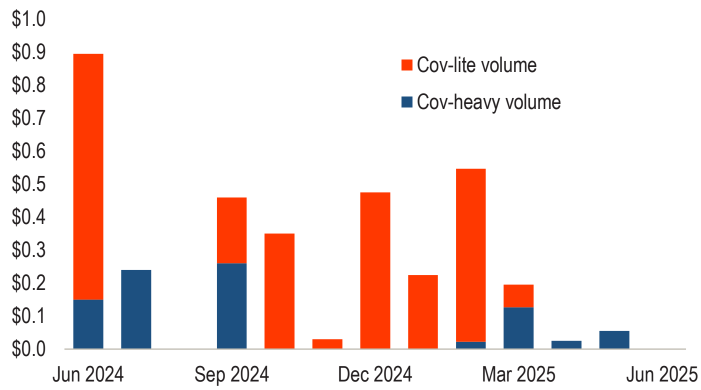
— Q2 US Private Credit Wrap, page 6

New-issue middle-market (loans of up to $350M) loan volume ($B)



Source: PitchBook | LCD

Middle-market (loans of up to $350M) institutional volume ($B)



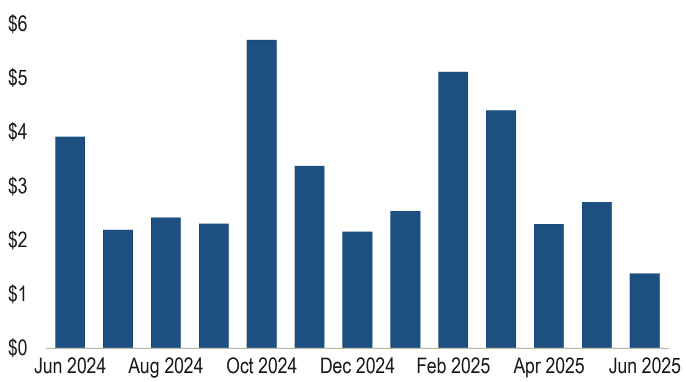
Source: PitchBook | LCD

First-lien flex activity

	June (down/up)	May (down/up)	April (down/up)	Mar (down/up)
$201M - $350M	0%/0%	0%/0%	0%/0%	0%/0%
$351M - $500M	33%/0%	100%/0%	0%/0%	0%/0%
All	25%/0%	100%/0%	0%/0%	0%/0%

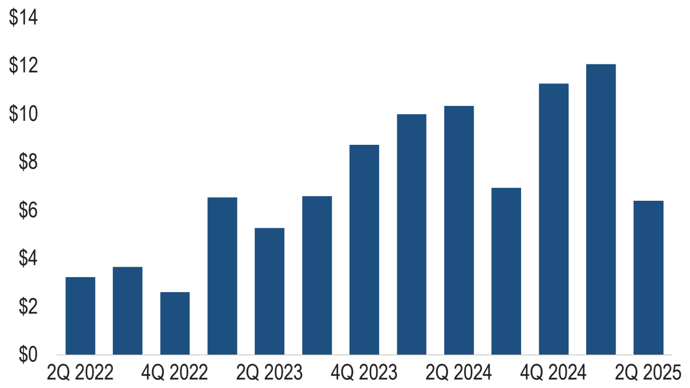
Source: PitchBook | LCD

Monthly middle market CLO issuance ($B)



Source: PitchBook | LCD

Quarterly middle market CLO issuance ($B)



Source: PitchBook | LCD

Deal with it

The restoration of M&A activity to full throttle — or at least the "normal" speed of dealmaking — is top-of-mind for private credit investors and market participants. According to a new survey, more than half of private equity sponsors, at 53%, anticipate that M&A activity will return to normalized levels in the first half of 2026, while another 15% expect that it won't happen until later. The poll was conducted in May by Churchill Asset Management, and it included 164 senior members of private equity firms with whom Churchill has relationships. Of that population, 25% expect deal activity to normalize in the second half of this year, while 7% say that it has already normalized. According to the survey, macroeconomic uncertainty is one of the restraints on deal flow. Some sponsors are reluctant to transact amid volatility and an unclear outlook, while others are hesitant to sell at valuations that they find too low.

Private credit has caught the attention of Washington, D.C. And not all of the attention is negative. Speaking before the House Financial Services Committee on Tuesday, Federal Reserve Chair Jerome Powell described the private credit market as one of several "pots to watch to make sure they don't boil over," but downplayed concerns that the market could be a destabilizing force in US financial markets.

"Private credit has its real positive attributes. It's not funded by deposits. As long as it's not funded by retail or deposits, it's actually fine for financial stability," said Powell. "But it's a very big and fast-growing sector, and it hasn't been through a real downturn, and it's quite diverse. So I think it bears close watching."

The comments conflicted with an assessment in early June by economists at Moody's Analytics, which found that the private credit market could amplify financial contagion during a potential downturn.

Elsewhere on Capitol Hill, lawmakers are discussing plans to cut taxes for private credit investors. President Donald Trump's "One Big, Beautiful Bill Act," which passed the House of Representatives in May, included new limits on taxes on dividends paid out by business development companies.

Unnamed lawmakers told the *Financial Times* this week that the terms could be introduced into the Senate's draft version of the bill amid an intense lobbying effort. The break could save investors $10.7 billion by 2034, according to Congress's Joint Committee on Taxation.

Loan market, by the numbers

Large corporate	90 day rolling average		
(>$50M of EBITDA)	6/18/2025	5/31/2025	4/30/2025
Spread (bps over base rate)	338	337	318
Floor (bps)	21.6	19.8	17.9
OID	99.27%	99.20%	99.44%
Yield	8.12%	8.12%	7.87%
Observations	120	93	143

Source: PitchBook | LCD

Note: Yield calculations are based on current base rate.

Moving back to the market, CLOs were a pocket of activity. BNP Paribas on June 25 priced a short-dated reset of Golub Capital Partners CLO 54(M)-R, one of two middle market CLOs the arranger priced that day for Golub's GC Investment Management. The $651.84 million transaction includes a new senior AAA margin of S+147 bps for the Class A1R tranche.

The other deal was an upsized $1.205 billion reset of Golub Capital Partners CLO 57(M)-R, a 2021 vintage middle market CLO. The new terms include a senior AAA coupon of S+152 bps for the $645.6 million Class A1R tranche.

BNP Paribas also priced a $987.34 million reset of the middle market Antares CLO 2023-1 for Antares Capital Advisors. Terms include a new senior AAA spread of S+152 bps, reduced from the original S+240 bps margin for the Class A tranche.

It's not all about private credit loans though for a certain swath of borrowers. Investors heard this week that the syndicated loan market grabbed the opportunity to provide financing for **Caesars Republic Alexander Valley**, formerly the River Rock Casino in California, in the form of a $200 million, six-year term loan B, which priced of S+900, with a 1% floor and an OID of 97 through sole lead arranger Citizens, according to sources. The loan will be non-callable for two years, and then callable at 106 and 103 in years three and four, respectively. It will include two financial covenants — total leverage and fixed-charge coverage — with testing beginning in the second full fiscal quarter following opening, according to S&P Global Ratings.

The transaction will also include a $180 million delayed-draw term loan that is being privately placed as well as a $10 million super-priority senior secured revolving credit facility. Proceeds will be used for expansion financing at River Rock Casino, located outside of Healdsburg, Calif.

Upon completion, River Rock Casino will be rebranded as Caesars Republic Alexander Valley and will be managed by Caesars Entertainment.

The market landscape in credit continues to evolve. PGIM, the asset management arm of Prudential Financial, is combining its fixed-income and private credit businesses to form a combined credit platform with nearly $1 trillion in assets.

"With the largest players increasing market share as clients look for comprehensive investment strategies and solutions from a select group of partners, scale, efficiency and speed to market matter more now than ever," said a PGIM spokesperson, via email to LCD. "Clients increasingly want a more integrated approach to credit across public and private assets and aligning these two groups immediately allows PGIM to come to market as a nearly $1 trillion credit platform," the spokesperson stated.

John Vibert, who was formerly head of fixed-income, will lead the new unit. Matt Douglas will be head of private credit and report to Vibert. PGIM is also combining its multi-asset and quantitative solutions businesses, forming a new unit that will be led by Phil Waldeck, former head of the multi-asset strategy.

In another collaboration, Carlyle and Diversified Energy Company (NYSE: DEC) unveiled a partnership to invest in and acquire up to $2 billion of natural gas and oil assets in the US. Carlyle will provide the capital through its asset-backed finance group. The partnership represents a large investment for the group, which had roughly $9 billion in AUM as of March 31. Diversified Energy Company has tapped the private credit market before. In March, the company used the proceeds of a bond issue to repay a vendor loan from Oaktree Capital that stemmed from a 2024 asset sale.

Average new-issue first-lien statistics (last 30 days)

Deal size	Spread (bps over base rate)	Floor (bps)	Offer price	YTM	Deal count
$351M - $500M	444	25	99.06%	9.34%	4
$501M+	325	22	99.45%	7.93%	75

Source: PitchBook | LCD

Under the new deal, Diversified Energy will operate and service newly acquired oil and gas assets. Carlyle said it intends to securitize the assets as the investments are made.

In people moves, Guggenheim Securities has hired Cliff Crain to join the firm's leveraged finance and debt advisory team, covering power, energy and renewables. Crain joins as a managing director and will start at the end of July. Crain previously worked at Citi as a director on the private credit market and solutions team, and at TD Securities on the syndicated and leveraged finance team covering energy and infrastructure.

Club scene

Audiovisual technology company **AVI-SPL** has received financing in support of its buyout by 26North Partners LP. Silver Point Capital Direct Lending led and provided the financing for the transaction. 26North will acquire a controlling stake from existing sponsor Marlin Equity Partners, which will retain a minority interest along with select shareholders. AVI-SPL represents 26North's third private equity investment. The transaction is expected to close in the third quarter.

Laboratory sciences company **Aegis Sciences Corporation** obtained debt to complete a $170 million refinancing. Kayne Anderson led the financing, according to a June 24 company statement. The borrower also retains an undrawn revolving credit facility that will be used to finance future investments. Aegis is backed by Abry Partners, which acquired the company in 2014. Abry Partners also provided incremental growth equity capital to the company as part of the transaction.

Youth sports platform **Rocket Youth**, a portfolio company of ZBS Partners, obtained $107.5 million in financing to recapitalize the business. Diameter Capital Partners was lead arranger and bookrunner on the financing. Proceeds will fund organic and inorganic growth initiatives.

Precious metals producer **Americas Gold and Silver Corporation** (NYSE American: USAS) closed on a $100 million senior term loan facility to fund production development at the company's Galena Complex in Idaho. Funds affiliated with SAF Group provided the financing, according to a June 25 company statement. The facility includes a $50 million term loan to be funded at close and two tranches of $25 million each subject to certain milestones. Pricing on the initial term loan and first $25 million tranche is S+600, with a 4% floor, and pricing on the final $25 million tranche is S+400, with a 4% floor. Principal will amortize over the term of the loan, with payments commencing one year after close and payable quarterly. The agreement includes an OID and other "customary" fees.

Marketing software company **Monetate** obtained a $75 million unitranche facility to refinance debt and support the company's add-on acquisition of SiteSpect, another marketing software company. A portion of the financing was provided by o15 Capital Partners, which also provided an equity co-investment. Of the $75 million unitranche facility, o15 provided a $30 million senior "last-out" term loan. The financing was provided through o15 Capital's Emerging America Credit Opportunities fund. Monetate is backed by Centre Lane Partners.

Road pavement testing company **International Cybernetics** received financing in support of an investment in the company by Clarion Capital Partners. Stellus Capital Management provided the senior financing, as well as an equity co-investment in the company.

School lunch provider Genuine Food Lab LLC, dba **Genuine Foods**, has obtained loans in support of growth initiatives into other communities. Lafayette Square provided the financing, according to a June 25 company statement.

Primary care provider **First Medical Associates** received financing in support of an investment in the company by Latticework Capital Management. PennantPark Investment Advisers provided the financing. Latticework partnered with First Medical Associates founder Dr. Rakesh Malik in the transaction. Malik said the company would pursue growth initiatives under Latticework's ownership, including add-on acquisitions.

Advertising services company **Residence** obtained a senior facility to support Gemspring Capital Management's investment in the company. Monroe Capital was sole lead arranger and administrative agent on the funding. This investment was made through Gemspring Growth Solutions I, a fund which is focused on non-control equity investments.

Consumer lender **Momentum Financial Services Group** refinanced and upsized its credit facility to C$657.9 million, from C$575 million, funding an expansion of its loan receivables portfolio. Ares Management Alternative Credit funds provided the secured financing commitment. Operating under the issuer name DFC Global, short for Dollar Financial Group, the company refinanced its 2023 first-lien revolving loan from Ares in the transaction. Pricing on the existing facility due 2028 was S+750 as of Dec. 31, BDC filings from Ares Capital Corp. (Nasdaq: ARCC) showed. The loan did not appear in ARCC's portfolio as of March 31.

— Zack Miller

Private credit drives semiliquid fund growth to $344B – Morningstar

Private credit's burgeoning popularity among individual investors, combined with changes in investor restrictions, has led to a significant growth of assets in semiliquid funds, according to research by Morningstar.

Assets in semiliquid funds open to nonqualified purchasers, or those with less than $5 million in investable assets, grew to $344 billion by the end of 2024, up from $215 billion just two years earlier at the end of 2022, according to the July 24 Morningstar report, "The State of Semiliquid Funds 2025."

Semiliquid funds include a range of assets, including private equity, private credit, and private real estate. But private credit "has been the biggest driver of growth for semiliquid funds over the past three years," particularly through nontraded business development companies.

While the largest semiliquid credit funds doubled net inflows to $46.0 billion per year in 2024 over 2023 levels, semiliquid equity funds saw net inflows of a relatively modest $11.2 billion, and semiliquid real estate and infrastructure funds have been in net outflows for the past two years, according to a Morningstar analysis of SEC data.

Such funds remain out of reach of the smallest retail investors: semiliquid funds are not available through Charles Schwab, Vanguard, or Fidelity, the three largest retail brokerages, and most are available only through financial advisors.

However, the funds have attracted more and more investors following regulatory changes and changes in behavior among wealth management platforms. Most recently, the SEC in May updated guidance allowing semiliquid funds with more than 15% of assets allocated to private assets to be available to non-accredited investors, or those with less than $1 million in investable assets.

Semiliquid private credit funds have performed well, with returns outshining both semiliquid equity funds and leveraged loans. Gross yields are similar to higher-yielding bank-loan funds, according to the report, though much of that yield "is mostly the product of fund-level leverage rather than lending money at higher rates." (The researchers excluded PIK income from yield calculations.)

"Leverage magnifies both losses and gains, but in private credit, the upside is easily seen, while the downside risk can be masked until a credit cycle occurs," the authors wrote.

The report was authored by Jason Kephart, Jack Shannon, and Brian Moriarty.

— Zack Miller

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The full 12-page report is available through the PitchBook Platform.

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